

COMPANY DEEP-DIVE

Former Regional Sales Director at QuidelOrtho Corp Com Believes Market Consolidation Challenges Competitive Positioning in Clinical Diagnostics

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SMART SUMMARY

Summary

The interview covered the expert's perspective on the clinical diagnostics industry, focusing on competitive positioning, product differentiation, market consolidation, pricing pressures, and recent strategic moves such as acquisitions and business model changes.

EXPERT BACKGROUND

- Former regional sales director with over two years of experience managing sales teams focused on both acute (hospital) and non-acute segments, including chemistry, immunoassay, and blood bank products in the clinical diagnostics industry.

EXPERT SENTIMENT

- The expert believes the company faces significant challenges due to market consolidation and limited product throughput in large core labs, making it difficult to compete with larger players.
- The recent acquisition of a molecular diagnostics platform is seen as a necessary strategic move, but the company is late to the market and faces entrenched competitors.
- Leadership is making efforts to reposition the company, but the expert is uncertain if these changes will be enough to overcome current market disadvantages.

TAKEAWAYS

- There is some overlap between the expert's current company and their former employer, mainly in respiratory testing, but the main revenue streams differ significantly.
- The company's end-to-end diagnostics platform is broad but not as comprehensive as major competitors like Abbott and Roche, and it lacks high market share in key segments.
- Consolidation among health systems is driving standardization, disadvantaging the company due to its lack of high-throughput solutions for large core labs.
- Downward pricing pressure is prevalent across the industry, with health systems struggling financially and viewing diagnostics more as a commodity.
- The acquisition of a molecular diagnostics platform (LEX) is a strategic move, but success will depend on expanding the test menu and overcoming incumbent competitors.

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Expert Bio

Former Regional Sales Director Mid Atlantic at QuidelOrtho Corp Com Corporate Account Manager at BioMerieux. The expert is responsible for calling on some of the largest health systems, focused heavily on microbiology, molecular diagnostics, and point-of-care testing. Prior to BioMerieux, the expert was the Regional Sales Director Mid Atlantic at QuidelOrtho. Reporting to the area director, the expert managed a team of eight direct reports covering respiratory, molecular, clinical chemistry, and blood bank testing across acute and non-acute market segments, overseeing direct sales and distribution channels and responsibility for reagent sales and account

management. The expert also led business development efforts through dedicated business development managers focused on chemistry and blood bank. Prior to QuidelOrtho, the expert was the Regional Sales Director Mid Atlantic at Cepheid, leaving April 2022. The expert managed a team of eight to drive adoption of molecular diagnostics in acute and alternate-site market segments, oversaw reagent and instrument sales, and consistently exceeded sales targets. Earlier in the expert's career, the expert held leadership roles at BD, Abbott, QIAGEN and other diagnostics companies in market development, channel marketing, international commercial leadership, and product marketing. The expert can speak to molecular diagnostics adoption, microbiology lab automation, point-of-care and clinical chemistry testing, sales team development and leadership, market and business development, KOL engagement, building value propositions and business cases for new diagnostic technologies, product launches, and strategies to drive adoption across hospital and alternate-site settings.

Interview Transcript

Client ▶ 00:00:00

Thanks for taking the time to speak about QuidelOrtho and the medical equipment industry. Would love to hear more about your background, your involvement with this company, the industry, what you are doing more recently. What can you briefly summarize?

Expert ▶ 00:00:14

Sure. My current role, I work for a clinical diagnostics company called bioMérieux. I call on some of the largest health systems in the area. Previous to that, I was a regional sales director with QuidelOrtho. I was there for about two and a half years, and I managed a team of eight people that was split between. Three people were focused on the non-acute segment of the market, so a lot of the Quidel products with SOFIA and those types of products, as well as three people that were account managers calling on the acute segment or more focused on the hospitals, which was more of the Ortho clinical diagnostic products with chemistry, immunoassay, and blood bank.

I had two other people on the team that were referred to as business development managers. One was focused on the blood bank segment of the market. The other one was focused on the chemistry and immunoassay segment. It was really their role to try to bring on new customers, and convert them from chemistry and immunoassay competitors and blood bank competitors and move them over to QuidelOrtho products.

Client ▶ 00:01:22

Thank you for helping me understand your background. Is there much overlap currently between QuidelOrtho's solutions and what you're currently focused on, or very different? Any overlap?

Expert ▶ 00:01:33

There is some overlap, mostly in the respiratory testing space. A big part of the QuidelOrtho business came from chemistry and immunoassay, as well as the blood bank. BioMérieux is more of a microbiology molecular diagnostics company. They are more focused on infectious disease. With QuidelOrtho, Quidel had products that were more targeted towards the infectious disease side of things with respiratory testing that was primarily for flu A, flu B, COVID, RSV, some group A strep for sore throats, that type of testing. There is some overlap between the two companies, but I would say most of their high revenue generating products come from different areas, because the bioMérieux is more focused on that microbiology side of the business, which QuidelOrtho is not involved in.

If you look at it from the other side, where a lot of the revenue that QuidelOrtho gets from chemistry, immunoassay, blood bank, that's a space that bioMérieux doesn't really compete in. They have a very small immunoassay franchise at bioMérieux, but nowhere near the type of revenue that QuidelOrtho had in that area.

Client ▶ 00:02:46

When you interact with clients currently, do you speak about QuidelOrtho very much or not at all?

Expert ▶ 00:02:53

I would say not very much at all. It comes up occasionally. Some customers do know me from my QuidelOrtho days. There's maybe a small amount of conversation around QuidelOrtho. I had a customer in Delaware recently brought up the fact that they had a QuidelOrtho system that had recently been announced that it was being discontinued. They were impacted by that because they had that particular piece of equipment to do some testing. They mentioned it, but I would say, normally, QuidelOrtho isn't really come up much in the conversations that I have customers, or when I'm representing bioMérieux, it really doesn't come up too often.

Client ▶ 00:03:32

That's very helpful to hear about that. It helps me to frame my questions and think about where to probe more deeply. I wondered, what do you think about QuidelOrtho's end-to-end diagnostics platform, that more of a one-stop shop? How much does that matter at the end of the day? You were in sales at this company and now still in the industry, sounds like in a similar role, different company, some overlap.

Expert ▶ 00:03:59

I do think that the companies **that have a true end-to-end** solution to offer are at a distinct advantage. QuidelOrtho has a fairly broad portfolio of products, but it's not as broad as some of the other companies that are out there. The Abbott Diagnostics and the Roche Diagnostics have an even broader portfolio of products compared to QuidelOrtho, and Beckman Coulter would fall into that same category. They definitely do have breadth in their product portfolio, but I wouldn't say that it's necessarily an advantage for them compared to the other clinical diagnostic companies, or at least not the large ones that are in the space.

Unfortunately, for QuidelOrtho, some of the product areas that they're in, **they don't have very high market share for the products** that they compete in. Although you could technically say that "Yes, they have breadth of product," they're not always thought of first as an option or as a leading candidate for that particular type of testing.

Client ▶ 00:04:58

This is just one narrative. Maybe you agree with it, maybe you disagree, but some people think perhaps they compete on specialized durability, competitive advantages in things like transfusion medicine and clinical laboratory testing, and then maybe some technological differentiation in the central lab, leveraging its proprietary dry slide technology. What do you think about that, and the bigger question of how do they compete against an Abbott?

Expert ▶ 00:05:26

I think if they were competing against an Abbott, you touched on transfusion medicine. That's a space that Abbott does not compete in. There are like two or three competitors that QuidelOrtho has to deal with in that transfusion medicine space, and they do quite well in that area. When I was there, I would say probably at least half of the customers in my region used a QuidelOrtho solution in their transfusion medicine or in their blood bank area. Competing against a company like Abbott or Roche when it comes to chemistry and immunoassay, historically, QuidelOrtho's always tried to position themselves as being very unique in that space, in the fact that they do have this dry chemistry. I'm going to age myself a little bit.

I've been in this industry for 35 years now. I can remember when Ortho Clinical Diagnostics first came into that space with dry chemistry, and it was originally a product from Kodak, actually. People were amazed by its simplicity, the performance that it provided. In the clinical diagnostics industry, they talk about CVs, or coefficients of variation, and the smaller the coefficient of variation, the better. Kodak and Ortho Clinical Diagnostics with the dry chemistry, **they had really exceptional performance compared to a lot of the competitors.** They charged a premium for that dry slide technology. At the time, a lot of customers were willing to pay it because it was very easy to use, and **the performance was superb.**

Things have changed over that timeframe, and I think the idea of the dry chemistry, **it doesn't resonate as** well as it did 20 years ago, I will say. **A lot of people in the lab are under intense pressure to be able to try to contain their costs, and paying a premium for** a dry chemistry system the way that QuidelOrtho has it. **They've been forced to reduce** their pricing to try to be more competitive.

Really, unless you are in a part of the country where **you are having significant water quality issues,** and sometimes I know QuidelOrtho did quite well in the Florida area and some of those areas that were subject to hurricanes and not having quality water for certain periods of time after trying to recover from the hurricane. **That dry chemistry, I think, still resonates well in some of those types of areas.** Your lab can still be up and running, and your hospital can be running because you are not relying on a water system to keep your instrument going.

I just think that with QuidelOrtho, that alone is not good enough anymore. If you want me to, I can elaborate on why I think that's the case. Just as far as competing against Abbott and differentiating themselves against them, that technology is unique. It is, but **they're not winning a lot of deals** just based on that.

Client ▶ 00:08:13

I would love to hear more about that, why that is, and especially if you have comments about what's happening that maybe differs from management or what's talked about more publicly. Maybe something's changed, maybe **something's perceived as more of a strength** than it really is, wherever you have your own perspective.

Expert ▶ 00:08:31

"key-phrase negative confidence-high">**I think the biggest challenge for QuidelOrtho** as it relates to the Vitros product line is that there's more and more consolidation of health systems across the country. As an example, I have the eastern half of Pennsylvania. Pennsylvania has become essentially a state that's being controlled by three or four health systems. You have UPMC in the Pittsburgh area, you have

WellSpan throughout southern Pennsylvania, you have Geisinger on the eastern side, then you have Penn Medicine. Those four health systems control almost the entire state.

The challenge that QuidelOrtho has in those types of situations is that when you've got large health systems like that, that might have 10, 15 hospitals as part of their health system, there's usually going to be a very large hospital in that system, and that large hospital usually has a very large core laboratory. All of these health systems are trying to standardize their product line across their entire health system, whether or not they're a mothership teaching hospital that has a large core lab or whether or not you're a community hospital.

The challenge that QuidelOrtho has is that the Vitros product line doesn't really have the throughput or the capacity to be a realistic solution in the large mothership hospital or in the large core lab. All these health systems are making decisions where they want to standardize and use the same company and hopefully the same products in all of their labs. If you can't win in the core lab, the hospital or the health system is not going to say, "Okay, well, we'll use Abbott or Roche in this main lab, but then we'll allow QuidelOrtho to be the vendor of choice in the smaller community labs." It's just not working that way.

A lot of these health systems are buying other smaller community hospitals that are out there, and if those hospitals that they're buying today use QuidelOrtho equipment in them, chances are within a year, two years, three years from now, that equipment will be converted over to match what the rest of the health system is using, and chances are that's probably Roche or Abbott or Siemens or Beckman.

In the two and a half years that I was there, that's where **I saw the biggest challenge for QuidelOrtho**. The product line itself works very well. It's the market dynamics **that is very challenging for them** because they're lacking on an instrument that has the kind of throughput to be able to win at the larger laboratories that are ultimately part of these health systems.

Client ▶ 00:11:02

Okay. I'm wondering about the bargaining power of these health systems. Is there any pricing pressure for **Quidel to worry** about? How is that trending over time?

Expert ⌚ 00:11:13

I think as an industry as a whole is dealing with a lot of downward pricing pressures. **Some of them are struggling themselves** financially, whether it's because the reimbursement is being pushed down for laboratory testing, or if it's just other issues within the health systems more broadly. I mentioned, in my current role, I have responsibility in New Jersey and Pennsylvania, and Thomas Jefferson Health System is a good example. The last few quarters, **Thomas Jeffersor has lost**, and they have reported their earnings. **They have lost a couple of hundred million dollars over the last few quarters**. Some of that might be reimbursement-related. Some of it is insurance-related because they are trying to be an insurer as well as a provider of healthcare services.

All of the diagnostic companies, including QuidelOrtho, are trying to deal with being able to work in that environment where their end user customers, **some of them are struggling** financially. **The insurers themselves and CMS in general has a downward trend on the reimbursement for diagnostic testing**. It's making **it difficult for all of them**. I am not sure. I hope that answers your question.

Client ▶ 00:12:26

Very helpful. I am wondering, is there a better way where there is more of a win-win relationship where the diagnostic companies like QuidelOrtho are delivering more value, and that's benefiting these hospital systems who are maybe not happy, but willing to pay more because their lives, their ROI, their profitability is getting better. Is there a different business model or something that could be changed? Any big weaknesses that can be overcome with respect to this, or maybe not, maybe a mountain too high to climb? What do you think?

Expert ⌚ 00:13:00

I think that **getting access to the people that really understand the value is becoming so difficult**. A lot of these diagnostic companies, they have very innovative products that provide high-quality results that can make a difference in patient outcomes. When it does that, it often comes along with shorter lengths of stay in the hospital and fewer antibiotics and just a more cost-effective approach. Trying to get access to the people that understand that part of it and are willing to try to help quantify the value there is extremely difficult.

I spend a lot of my week trying to request time with people that understand that part of the business, but it's few and far between. **Unless** you've got an approach where you've got literally the CEO of QuidelOrtho sitting down with the CEO of Thomas Jefferson and having these types of conversations, **it's hard** for the average salesperson or sales manager to be able to get access to the people that can really help make those types of decisions.

Client ▶ 00:13:58

If I'm understanding you correctly, the diagnostic companies, if they could quantify ROI at health system level, reduce the LOS, antibiotic reduction, cost savings, that type of thing, and get access to CFOs, operational leaders, not just lab directors, then maybe they can make the case for premium pricing despite IDN consolidation pressure. Am I saying that right, or is there a better way of saying that?

Expert ▶ 00:14:23

No. I think that's a good way to sum it up. There is a lot of value in diagnostic testing, and you're probably familiar that people in the industry talk about 70% of the decisions that are made within the hospital from a patient care perspective are because of diagnostic tests. I don't think that there is any disputing the value of diagnostics itself.

I think a lot of the end-user customers are thinking of it more as a commodity than it is as a real differentiator between one company to the next. It's difficult when you are being viewed upon as a commodity to be able to try to position yourself as a premium-price product when health systems are struggling financially, or **they've got a lot of downward pressure on their reimbursement rates.**

Client ▶ 00:15:11

It sounds like a lot of moving parts to navigate and get to row in the same direction.

Expert ▶ 00:15:16

Yes, it is. I don't want to get off on too much of a tangent, but bioMérieux has a very interesting product to be able to try to help minimize the number of patients that go on to have acute kidney injury. Unfortunately, it requires six or eight different clinical people as well as laboratory people, as well as executives to be able to make a decision to use a test like that. **It's not crazy expensive. It's maybe a \$60 test. That has the potential for unbelievable patient outcomes and very significant reductions in cost of treating the patient, because you are avoiding a bad patient outcome** because they are not getting acute kidney injury when it's identified early enough.

Trying to pull all the right people together to be able to make a decision like that, bioMérieux has some success with those, but **it's a very long sales cycle, and it's very challenging to get all the right people** in the room at the same time to have the conversation. I just use that as an example of a product. There are many others within diagnostics that could fall into the same category.

QuidelOrtho just recently got approved for a product for high-sensitivity troponin to be able to identify patients that are having heart attacks. Now, unfortunately, for them, they were late to the market, but that's an important test, and it's something that has tremendous value and can help hospitals reduce their costs pretty significantly if you can identify those patients early enough. There's lots of examples, but I'll just throw those out as a couple. It's not easy getting all the right people in the room at the same time to make that decision.

Client ▶ 00:16:56

Where do we need to see change first to head down this path **that's more of a win-win**, and QuidelOrtho can have more pricing power because they're delivering more value, and these hospitals being in a better position to pay for that, and the connection to value-based care? What would get you excited? Is it something to do with reimbursement or regulation or leadership?

Expert ▶ 00:17:19

I think that a lot of the decisions, obviously, in healthcare, they want them to be supported by the data to be able to move forward in a new direction or to support making changes. I think part of it is having the studies with the data to be able to support that. **A lot of the diagnostic companies have market access teams, and those market access teams are really left with the responsibility to try to convince the payers that either their new product or their new technology has the ability to provide better patient outcomes, and as a result of that, there should be higher reimbursement that goes along with that.**

My current company is in that kind of a situation, where they have very broad molecular diagnostic panels that are used to be able to accurately identify. That's the type of thing, where having the market access, people have **the data to be able to have the clinical proof** to be able to support those outcomes to be able to essentially build a clinical case as well as a business case as to why they should be able to have either reimbursement in the first place or to have higher reimbursement for those innovative technologies. I will just leave it there to try to keep it as broad-based as possible.

Client ▶ 00:18:30

When thinking about diagnostics, how does a company get pricing power? Do we see that anywhere in the industry, or what is the secret formula for getting that right? Any lessons learned?

Expert 00:18:43

I think it's a combination of things. **One is just simply the ease of use of using the product** I won't mention specific company names, but there are some companies out there that have platforms that are generally recognized as the easiest-to-use system on the market. When you combine that with quality results and you combine that with very competitive turnaround times for those test results, those companies are able to differentiate themselves in the marketplace and they are able to command a higher price than most of their competitors.

When you take those three things and you add in breadth of menu, **it puts you at a competitive advantage**, and I think that's an area where some of the companies in this industry have been able to put that combination together and have been able to, for several years, maintain premium-priced products compared to the other people that are competing with them in that space.

Client 00:19:36

Do you see AI being a game changer for this industry in a way that leads to more pricing power, clarity regarding ROI? Where are we heading?

Expert 00:19:46

I see there are a number of companies right now that are trying to include AI in their diagnostic platforms, a lot of it related to cancer diagnostics. I think that where that is going is really exciting because the technologies that are being promoted right now to identify extremely small amounts of residual cancer. If somebody goes in for surgery and the surgeon says, "Okay, don't worry, Mrs. Smith, we got it all and we removed everything."

There are technologies available right now that are allowing the diagnostics to be able to identify incredibly small amounts of residual cancer that probably would not be picked up by any other type of diagnostic approach, other than being able to find very small fragments of cancer DNA floating in a patient's blood sample. A lot of companies are using AI to be able to try to develop those algorithms to help them identify the smallest amounts of residual cancer. That, I think is tremendous, not only for the industry, but just for patient care in general.

Client 00:20:46

Maybe this is too hypothetical and speculative, but I'm just wondering if we have massive success with these GLPs and version seven or 10 or whatever it is, along with incredibly great cancer screening. Does that, all of a sudden, mean a lot of these diagnostic companies who are selling a broad array of solutions? Does it make them more obsolete because we've tackled some of the root causes, some of the big problems, and so people are just not going to the hospital as much? They don't need all these other diagnostic tests done. I don't know, I'm just imagining, but what do you think? Are there other scenarios maybe that could be really transformational, for better or worse? What do you think?

Expert 00:21:30

I think the challenge for the diagnostic companies lies in the fact that the technologies are evolving quite quickly. If you're a competitor, I'll use prostate cancer as an example. There are different tests on the market for prostate cancer. There's immunoassay testing that you could run on an Abbott instrument, a Roche instrument, a QuidelOrtho instrument. If these companies that are using these AI algorithms, and they're using a combination of molecular diagnostics along with the AI, if that becomes the standard of care for prostate cancer detection, then **it could pose a significant revenue challenge for companies** that have revenue for prostate.

The test itself is called PSA. It could replace PSA testing, and maybe we get to a point where prostate cancer isn't run on an immunoassay instrument anymore. It's run on one of these new technologies that's being developed or has been developed. I think that the companies that are in that space have to be constantly looking to see what is the next innovative technology, or what's the next revolutionary technology in the industry, and is there a chance that the current products that **they have on the market today get leapfrogged by these new technologies**. Part of it could be generated or influenced by AI.

Client 00:22:50

Okay. Anything else to say about where there could be a dramatic change here, a regime change that looks very different from the past for these diagnostic companies?

Expert 00:23:02

I think the AI piece of it has the chance. A lot of the equipment that's being used in laboratories are all connected to different IT systems or laboratory information systems. I think that there's probably a lot of people that are working on this now, or maybe it's already getting ready to come to market if it hasn't already. Being able to take all of that information that's being generated around that patient and be able to have AI make the recommendations on how that patient should be treated, I don't think we're there yet.

I don't hear any of my customers talking about that we're there. It would seem to be the logical next step, where you've got the information

generated by the laboratory, gets shared with pharmacy, gets shared with other departments within the hospital. AI is having a big role in having a say or making recommendations on how that patient should be treated. For companies that are in the infectious disease space, it's a matter of what's the appropriate. If you've got four different antibiotic options that you could use, is AI going to play a role in making the decision, or helping to make the decision around what's the most appropriate or what's maybe the most effective to kill those organisms that are causing the infection?

Maybe there's a piece of that decision-making algorithm that says, "Well, here, we need to take into consideration what's the most effective treatment, but then you balance that with what's the most cost-effective." I could see all of this information that's being generated for this patient being synthesized by AI to come up with those types of recommendations. I think just as a general trend in our industry, I've been over 30 years in this space. There's been a lot of consolidation of companies over the years. I think that that's probably going to continue. There will be some companies that will enter the market because they've built something new from a technology and a disease detection standpoint.

As a general trend, I think that **the industry will continue to consolidate**. The big players **that are in the market now will use their financial wherewithal** to purchase or acquire new innovative technologies that come to market. It's very expensive for the Abbotts and the Roches and Siemens of the world to start the development of a brand-new instrument and take it through clinical trials and do all of those things. I almost see the big companies, they have the equipment that they have today. They'll make some modifications, and they'll enhance some software. Maybe they'll put some, they call them, skins when they put new covers on the instruments.

They do those things, but those are evolutionary types of things that you can do to maintain your presence in the market and keep the revenue streams alive. Really coming out with innovative things takes a lot of R&D, and I think that a lot of those companies right now are looking more at start-up companies to develop the technologies and then they will step in and most likely buy a lot of those companies instead of developing it themselves.

Client ▶ 00:26:02

Does QuidelOrtho have the right mousetrap relative to competitors in terms of creating or acquiring revolutionary technology that helps **them leapfrog their current products**? How would you rate them relative to others, perhaps on a scale of one 1-10? Culture, leadership, all the ingredients that go into this.

Expert ▶ 00:26:22

That's a tough question to answer. I think on the culture and leadership part of it, you're probably aware within the last two years, they went through a change with senior leadership within QuidelOrtho. The current CEO, I think, is trying to make the changes to get them to a point where they can have the right product lines. I think the acquisition of the LEX Diagnostics instrumentation and to get into the molecular diagnostics space, that was something that had to be done within QuidelOrtho. They were trying to compete with their SAVANNA platform. Unfortunately, they spent a lot of money and a lot of years trying to develop it and didn't really get much return for their investment.

They made a decision to walk away from the SAVANNA platform and to invest in acquiring the LEX instrumentation, which if you're going to be in that respiratory testing space, my opinion is you need to have a molecular diagnostic solution. QuidelOrtho really didn't have one. Now, they have one, and it'll be interesting to see what happens in the marketplace. **They're a little bit late to the game because there are already a lot of incumbents and a lot of competitors** competing in that space right now. I think the instrumentation that **they've acquired has some very good turnaround time**, and in certain segments of the market, especially in urgent cares and doctor's offices and those types of things, they'll get a lot of attention.

I think the challenge that they'll have is that short term, it's always difficult to penetrate the market and to displace the incumbents when a lot of the customers have contracts, they have agreements in place with the current suppliers, so it takes some time to displace them. I think, strategically, what they're trying to do, at least in that space, and then yesterday, there was an announcement that they were looking at trying to spin off their point-of-care business.

My opinion is that there has been a place for rapid antigen testing, which when I read that announcement, I was thinking about the products that are likely part of that. I was assuming it was their SOFIA product line, which is rapid antigen testing for flu A, flu B, COVID, RSV, that type of stuff. When they purchased the LEX Diagnostics platform, that's the first panel of tests that they have, is for respiratory. I would think it would make some sense for them, so they're not competing with themselves, to be able to try to spin off the point-of-care business.

I wasn't completely surprised when I saw that part. I do think that the leadership is trying to do some things there to change the course of the company. **I just think that with the Vitros platform on the immunoassay and chemistry side of things, that's just a challenging marketn> when they're number five in a five-competitor market.** I don't know how they change that part.

The other major revenue stream for them is in the **blood bank business**, and **they do have a good instrument with Vision**. They're a well-respected name in the blood bank business. I think, for them, **they probably lost some of that luster along the way** and that reputation for dry chemistry being a very unique thing and something that they could differentiate themselves in the market with in the chemistry and immunoassay space. I think that probably covers the main areas just from a strategy perspective for them.

Client ▶ 00:29:40

That's great. I appreciate your perspective there. Any final last words? Anything to add, highlight, summarize about Quidel? Anything that might be overlooked about them?

Expert ▶ 00:29:55

No. I just think that **it's a tough industry** right now. There's a lot of **downward pressure**, and the LEX Diagnostics, I think, will be interesting to see how that evolves and whether or not they're able to expand the menu there to be able to try to be as competitive as they possibly can be. I think step one is have an instrument that you can compete in that space. **Step two is to be able to expand the menu as much as you can**, because a lot of the other players that are already in that space have fairly broad menus available.

Just because you have a respiratory panel doesn't mean that you're necessarily going to be able to displace a competitive platform that's already there doing respiratory and other testing areas as well. I think it'll be interesting to see how the whole thing unfolds over the next couple of years for QuidelOrtho and whether or not the LEX acquisition turns out to be a home-run for them or not.

Client ▶ 00:30:53

Great getting your perspective on all this. Looking forward to staying in touch. Have a great rest of your day.